

Activity 2 — Netflix vs Blockbuster — Innovation as an Operating System

Course Fast-Track Innovations with Agile Design Thinking and Generative AI (GenAI)

WSQ Course Code TGS-2024049781

Topic Topic 01: Foundations of Design Thinking, Agile, and Generative AI for Problem-Solving

Duration 45 minutes · Group size: 3–5 participants

Tools Padlet Classroom Board, ChatGPT or Microsoft Copilot

Learning Outcome Addressed

LO1 · LO4 · A6 · K2 · K3 — Cultivate design thinking as a viable tool to foster new innovations; drivers of organisational growth.

The Real Case

In 2000 Reed Hastings offered to sell Netflix to Blockbuster for \$50 million. Blockbuster's CEO reportedly laughed him out of the room. Blockbuster had 9,000 stores and made a large share of its profit from late fees — a revenue stream that depended on customers being unhappy. Netflix removed late fees entirely, then cannibalised its own profitable DVD-by-mail business to launch streaming in 2007, then cannibalised licensed content by producing originals from 2013. Blockbuster filed for bankruptcy in 2010. Netflix did not win on a single idea; it won because it repeatedly ran the innovation loop against itself while its competitor optimised the business it already had.

Your Scenario

You lead innovation at an established Singapore firm whose most profitable product line depends on a customer inconvenience — a booking fee, a lock-in contract, or a manual process customers pay to have done for them. A start-up has just launched a free alternative. The board wants a response by the end of the quarter.

What You Will Do

Learners contrast an organisation that treated innovation as a repeatable operating system with one that optimised its existing model, and identify the specific organisational conditions — purpose, autonomy, and what gets measured — that allowed one to self-disrupt and prevented the other.

What you will produce

A Padlet comparison board plus a written 'what we would have to stop measuring' statement for the learner's own organisation.

Step-by-Step Instructions

1. Rejoin the Padlet classroom board and open the Activity 2 section.
2. In your group, list every Blockbuster metric you can infer from the case in the sub-section 'What they measured'.
3. Post one metric from your own organisation that quietly protects the status quo.
4. Ask ChatGPT: 'What early signals should a DVD rental chain have tracked in 2000 to detect streaming disruption?' and evaluate whether those signals were knowable then.
5. Post your group's answer to 'what we would have to STOP measuring to innovate honestly'.
6. Comment on another group's post, naming one risk in their proposal.

Discussion Questions

1. Blockbuster's late fees were both its profit engine and its biggest customer pain point. What is the equivalent in your own organisation?
2. Netflix cannibalised two of its own successful businesses. What made that organisationally possible, and what would block it where you work?
3. 'Measure things that matter' — what was Blockbuster measuring that made the decision to decline look rational at the time?
4. Was Blockbuster's failure a failure of ideas, of execution, or of the operating system around both? Defend your answer.
5. Where could GenAI have given Blockbuster early warning, and would leadership have believed it?

How You Know You Are Done

Your board names at least one real metric in your own organisation that discourages innovation, and one concrete change to it.

Debrief — What the Room Should Conclude

Blockbuster did not lack information — it lacked an operating system that let unwelcome information change a decision. Its metrics rewarded protecting late-fee revenue, so every rational manager defended it. This is the 'measure things that matter' principle in its negative form: a metric that cannot change a decision is decoration, and a metric that punishes the future protects the past. Netflix's advantage was structural, not creative: purpose and autonomy at the top, cheap experiments underneath, and a willingness to let a new bet eat an old one. GenAI would have flagged the trend, but the barrier was never detection — it was the incentive to act.